

The diversified portfolio portion of the RIO-Map is about making sure that you have a unified strategy that maximizes your retirement preferences. It needs to be well coordinated with your reliable income and reserves. It is important to get an early start in making sure that the portfolio is in proper shape for retirement, but we should also consider final tweaks about the overall asset allocation after all the other components of the RIO-Map have been fully implemented.

The final component of assets is the reserves. We identify how well positioned you are to absorb any potential external shocks to your retirement income streams and how well you have planned asset transfer strategies. Reserves are aimed to meet the goal of supporting liquidity, which can be used to meet contingencies in retirement. Reserves are unique as well in that many types of reserve assets we analyze may serve to reduce the potential size of the contingency liability box rather than simply increase the size of the reserve asset box. As long as the size of the reserve asset box is aligned with the size of the contingency liability, the absolute size of these two boxes is less relevant. The idea is that reserve assets can be used to limit the impact of different potential contingencies in retirement. As a simple example, a long-term care insurance policy can offset a portion of the spending associated with experiencing a long-term care need, reducing the size of this contingency. Contingencies include external shocks ranging from unexpected job loss, an unexpected death in the household, a chronic illness diagnosis, a long-term care need, and more. Those highlighting liquidity as a high retirement priority will focus on how to best deploy their reserves.

The spending shocks that can accompany these contingencies can disrupt a retirement plan if there are not sufficient reserves in place to manage such risks and costs. Reserve assets may include varying combinations of cash and income, insurance policies, housing and the ability to age in place, family assistance and obligations, taking care of one's health, having a team of retirement professionals, and having estate planning basics covered. Having extra investment assets available beyond what is earmarked to cover other goals is also a source of reserve assets. It is important to understand that for an asset to be available to fund contingencies, it cannot be earmarked to cover a different liability. Otherwise, if it is spent on something